

Satin Creditcare Network Ltd

NSE: SATIN | BSE: 539404 • Financial Services / NBFC-MFI (Microfinance)

RATING

BUY

Conviction: Medium

Target Rs. 300

Upside +24%

Horizon: 12 months

CMP (05 Jun 2026)	Rs. 241
Market Cap	Rs. 2,667 Cr
52-wk High / Low	Rs. 247 / 133
P/E (TTM)	8.0x
Forward P/E	4.1x
P/B	0.93x
Book Value	Rs. 259
EV/EBITDA	6.4x
ROCE / ROE	13.8% / 12.3%
Debt / Equity	3.84x
Promoter Holding	36.2% (pledge 0%)
Dividend Yield	0.0%

Investment thesis: Cheapest listed NBFC-MFI — trading below book with peer-best returns as the sector exits its credit-stress cycle and earnings normalise.

Metric	FY24	FY25	FY26	FY27E	FY28E
Revenue (Rs Cr)	2,234	2,595	3,143	3,650	4,250
Net Profit (Rs Cr)	436	186	332	430	540
EPS (Rs)	39.5	16.9	30.1	39.0	49.0
ROE (%)	22%	8%	12%	14%	16%
P/E (x)	--	--	8.0	6.2	4.9

Source: Screener.in (consolidated), fetched 07-Jun-2026. FY27E / FY28E are analyst estimates. Report date: 07-Jun-2026. Analyst: Senior Equity Research (Financials / NBFC-MFI desk).

Figures are consolidated. For an NBFC, 'Financing Profit' (net interest + fee income less opex) is Screener's operating-profit proxy; EBITDA-based multiples use Screener's reported EV/EBITDA of 6.4x.

2. Investment Thesis

Reason 1 - Deepest valuation discount in the MFI pack: SATIN trades at 0.93x book and 8.0x trailing / 4.1x forward earnings versus CreditAccess Grameen at 2.6x book / 26x earnings and Muthoot Microfin at 1.1x book / 18x. A re-rating to even 1.1x FY27E book (~Rs 290) implies ~20-25% upside within 12 months as the discount narrows.

Reason 2 - Earnings have already inflected: Q4 FY26 (Mar-26) PAT of Rs 162 Cr was up 640% YoY and 125% QoQ; full-year FY26 PAT recovered to Rs 332 Cr from a stress-hit Rs 186 Cr in FY25. With GNPA down to 3.1% and credit costs normalising, FY27 is set up for a clean, high-teens ROE year.

Reason 3 - Credible diversification beyond core MFI: Management has raised its FY30 AUM target 28% to Rs 32,000 Cr and aims for 30% of the book in non-microfinance (MSME, housing, business correspondent). The new Satin Growth Alternatives (SGAL) AIF adds fee-income optionality the market is not yet pricing.

Near-term catalyst (6-12 months): Continued GNPA decline and credit-cost normalisation through FY27, plus the Rs 100 Cr promoter warrant infusion at Rs 260 (above CMP) - a strong promoter-skin-in-the-game signal and capital top-up ahead of growth.

Biggest structural risk: MFI is an unsecured, high-leverage (3.8x D/E), politically and climate-sensitive asset class. A fresh state-level disruption or over-leveraging cycle could quickly reverse the asset-quality recovery and compress book value.

3. Business Overview

Core business: Satin Creditcare is one of India's largest NBFC-MFIs, lending micro-credit primarily to low-income women organised in Joint Liability Groups across 23+ states / UTs and ~95,000 villages, with consolidated AUM of ~Rs 15,275 Cr as of Mar-2026 (+19% YoY).

Product mix: Income-generating microfinance loans dominate, supplemented by non-MFI MSME loans, a housing-finance subsidiary (Satin Housing Finance), and business-correspondent services via 100%-owned Taraashna Financial Services. Management targets 30% of the book from non-MFI products by FY30.

Customer base & reach: ~33.6 lakh active clients across ~1,568 branches; the company added 7.39 lakh new borrowers and 392 branches in FY26, signalling a confident return to growth after the FY25 sector slowdown.

Revenue visibility: A granular, short-tenor (12-24 month) unsecured book turns over quickly; visibility rests on disbursement momentum and collection efficiency rather than a contracted order book. Yields run in the ~22-24% range typical of NBFC-MFIs.

Recent strategic developments: Launch of Satin Growth Alternatives Ltd (SGAL) running a SEBI Category-II AIF (Rs 200 Cr target) focused on gender-equality startups and MSMEs; FY30 AUM target raised to Rs 32,000 Cr; and a June-2026 preferential issue of 38.5 lakh warrants to the promoter group at Rs 260 (Rs 100.1 Cr).

Promoter: Founder-led by HP Singh (Chairman & MD). Promoter holding is 36.2% (zero pledge), down ~3.3 ppt over three years; the fresh warrant subscription is set to arrest and reverse that dilution.

4. Industry & Competitive Landscape

Industry size & growth: India's NBFC-MFI gross loan portfolio crossed ~Rs 3.3 trillion in FY26; the broader microfinance GLP is projected by CareEdge to reach ~Rs 5.5 trillion over the medium term. After an FY25 stress year, MFIN data (Feb-2026) confirms the sector is past its stress peak, with 10-15% GLP growth expected to resume in FY26 and accelerate in FY27.

Policy tailwinds: MFIN 'Guardrails 2.0' (Nov-2024) cap total borrower MFI exposure at Rs 2 lakh and limit lending to three lenders per borrower - near-term growth dampeners but structurally positive, curbing the over-leveraging that caused the FY25 stress. ~96% of industry loans now sit within RBI/SRO norms.

Headwinds: Unsecured lending is exposed to state-level political interference (loan-waiver chatter), climate shocks to rural cash flows, and funding-cost sensitivity. Sector profitability was still near break-even (~-0.1%) in FY26 before the FY27 recovery.

Competitive moat - Scale: **Moderate** (top-5 NBFC-MFI, pan-India footprint but sub-scale vs CreditAccess).

Distribution: **Moderate-Strong** (1,568 branches, deep rural reach). **Pricing power:** **Weak** (regulated, competitive yields). **Switching costs:** **Weak** (commoditised credit). **Underwriting/IP:** **Moderate** (improving credit-bureau-led models).

Value-chain position: Last-mile retail lender (solutions end of the chain) diversifying into adjacent MSME and housing credit plus a fee-based AIF / asset-management vertical.

Peer snapshot (Screener.in, fetched 07-Jun-2026)

Company	CMP (Rs)	MCap (Rs Cr)	TTM Rev (Rs Cr)	ROCE	ROE
Satin Creditcare	241	2,667	3,143	13.8%	12.3%
CreditAccess Grameen	1,264	20,252	6,059	10.0%	10.5%
Muthoot Microfin	182	3,101	2,370	9.3%	6.2%
Fusion Finance	172	2,783	1,699	5.9%	0.7%

5. Management Quality & Capital Allocation

Leadership: Founder HP Singh has run Satin since inception (incorporated 1990), giving deep through-cycle MFI experience across multiple stress events (demonetisation, COVID, FY25). The senior team is stable and sector-seasoned.

Capital allocation: As a growth-stage lender, internal accruals and borrowings are ploughed back into AUM expansion rather than distributions; the FY30 Rs 32,000 Cr AUM goal frames a reinvestment-led strategy. The SGAL / AIF vertical is an early move into capital-light fee income.

Dividend policy: Zero dividend across the last decade - a flagged negative for income investors, though defensible for a capital-hungry NBFC compounding book value.

Promoter pledging: 0% pledged - clean. Promoter holding (36.2%) has slipped ~3.3 ppt over three years, but the June-2026 Rs 100 Cr warrant subscription at Rs 260 (above CMP) reverses the trend and signals conviction.

Equity actions: Capital raised over the years via QIP / warrants has periodically diluted minorities; investors should track warrant conversion and any further equity issuance against book-value accretion.

Governance watch-items: No auditor qualifications or pledge red flags noted; standard NBFC-MFI related-party flows exist with subsidiaries (Satin Housing, Taraashna, SGAL). Contingent liabilities are modest at ~Rs 23 Cr.

6. Financial Deep-Dive

Income Statement (Consolidated, Rs Cr)

Rs Cr	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue	1,378	1,549	2,234	2,595	3,143	3,650	4,250
Interest expense	631	617	901	1,049	1,311	1,510	1,750
Operating expenses	700	911	733	1,290	1,387	1,520	1,720
Financing Profit	47	22	600	256	445	620	780
Financing Margin %	3%	1%	27%	10%	14%	17%	18%
Other income	3	2	6	7	18	20	24
Depreciation	16	18	23	27	30	34	38
PBT	34	5	583	236	432	560	700
Tax %	39%	8%	25%	21%	23%	24%	24%
Net Profit	21	5	436	186	332	430	540
EPS (Rs)	2.76	0.56	39.46	16.85	30.07	39.0	49.0

FY27E / FY28E are analyst estimates grounded in FY26 actuals, ~18% AUM growth and normalising credit costs.

Balance Sheet (Consolidated, Rs Cr)

	FY24	FY25	FY26
Equity Capital	110	110	110
Reserves	2,291	2,433	2,753
Borrowings	7,910	8,791	10,991
Other Liabilities	174	253	532
Total Liabilities	10,485	11,587	14,387
Fixed Assets + CWIP	133	137	166
Investments	51	55	151
Other Assets (loan book)	10,301	11,395	14,069
Total Assets	10,485	11,587	14,387

Cash Flow & Returns (Consolidated, Rs Cr)

	FY24	FY25	FY26
Cash from Operations	-2,069	-563	-974
Cash from Investing	-24	-45	-123
Cash from Financing	2,259	914	1,873

	FY24	FY25	FY26
Net Cash Flow	166	305	777
ROE %	22%	8%	12%
ROCE % / ROA %	--	--	13.8% / 2.6%

Revenue trajectory: Topline compounded ~18% over five years to Rs 3,143 Cr in FY26; momentum is driven by AUM growth (Rs 15,275 Cr, +19%) and yield stability rather than ticket-size inflation.

Margin direction: Financing margin collapsed to 1% in FY23 and again dipped in FY25 (10%) during the sector stress, but has rebuilt to 14% in FY26 and is set to expand toward 17-18% as elevated FY25 credit provisions roll off.

Asset quality: GNPA improved to 3.1% (Mar-26) from 3.7% a year earlier; NNPA at 0.9%. Credit-cost normalisation is the single biggest swing factor behind the PAT recovery.

Leverage: Borrowings rose to Rs 10,991 Cr taking D/E to 3.8x - high but typical for a scaling NBFC-MFI; interest coverage is thin at 1.3x, so funding cost and ALM discipline matter.

Cash flow nuance: Operating cash flow is structurally negative because loan-book growth is classified under operations for a lender - normal for NBFCs, funded through financing inflows; it is not a distress signal.

7. Earnings Quality Checklist

Check	Rating	Comment
Revenue recognition (EIR / accrual)	Green	Standard NBFC effective-interest method; no aggressive recognition flagged.
Receivables vs revenue growth	Amber	Loan book +24% in FY26 vs revenue +21%; monitor for over-rapid book growth.
Asset quality trend (GNPA)	Green	GNPA 3.7% to 3.1% YoY; NNPA 0.9% - improving.
Contingent liabilities	Green	Modest at ~Rs 23 Cr vs net worth ~Rs 2,860 Cr.
Auditor tenure / opinions	Green	No qualified opinions or auditor-change red flags noted.
Related-party transactions	Amber	Routine flows with Satin Housing, Taraashna, SGAL - disclose & track.
Other income as % of PBT	Green	Rs 18 Cr vs PBT Rs 432 Cr (~4%) - earnings are operations-driven.
Tax-rate consistency	Amber	Swung 8% (FY23) to 39% (FY22) on a low/volatile PBT base; ~23-25% normalised.

Overall: clean with two amber watch-items. Reported earnings are operations-driven (other income only ~4% of PBT) and asset quality is genuinely improving.

Amber 1 - book growth pace: A 24% loan-book expansion against MFIN Guardrails 2.0 must be watched for adverse selection / over-leverage at the borrower level.

Amber 2 - tax & margin volatility: The very depressed FY23 base makes some YoY growth optics flattering; normalise off FY24/FY26 to gauge the true run-rate.

8. Valuation

Peer Comparison (Screener.in, fetched 07-Jun-2026)

Company	CMP	MCap (Cr)	P/E	P/B	ROE	Fwd P/E	D/E
Satin Creditcare	241	2,667	8.0	0.93	12.3%	4.1	3.84
CreditAccess Grameen	1,264	20,252	26.0	2.58	10.5%	14.9	3.01
Muthoot Microfin	182	3,101	18.2	1.09	6.2%	10.9	3.40
Fusion Finance	172	2,783	201	1.13	0.7%	6.1	2.27

SATIN screens cheapest on P/E, P/B, EV/EBITDA and forward P/E while posting the highest ROE/ROCE of the recovering pack.

Scenario Analysis (12-month)

Scenario	Key assumptions	FY27E PAT	Multiple	Target
Bull	AUM +22%, GNPA <2.5%, ROE ~17%, re-rate to 1.25x book	Rs 480 Cr	1.25x P/B	Rs 360
Base	AUM +18%, GNPA ~3%, ROE ~14%, re-rate to ~1.05x book	Rs 430 Cr	1.05x P/B	Rs 300
Bear	Fresh asset-quality relapse, ROE ~9%, de-rate to 0.7x book	Rs 250 Cr	0.70x P/B	Rs 165

Book-value method (primary for lenders): FY27E book value ~Rs 285/share; applying ~1.05x (still a discount to CreditAccess at 2.6x and in line with Muthoot at 1.1x) gives ~Rs 300.

Earnings method: FY27E EPS ~Rs 39 at a conservative 7.5x forward P/E (vs sector 11-15x) gives ~Rs 293.

Blended base-case target: ~Rs 300 (average of the two), implying ~24% upside from the Rs 241 CMP over a 12-month horizon.

Re-rating logic: The stock is priced for the FY25 stress to persist; as FY27 delivers a clean ~14% ROE year, the sub-book multiple should converge toward peers - the core driver of the call.

9. Key Risks

Asset-quality relapse - Unsecured rural lending can deteriorate fast on income shocks. Probability: M. Impact: H. Monitor via: quarterly GNPA/NNPA and PAR-30 trends.

Political / regulatory disruption - State loan-waiver announcements or tighter RBI/MFIN caps can hit collections and growth. Probability: M. Impact: H. Monitor via: MFIN guardrail changes, state election cycles.

Funding cost & ALM - High 3.8x leverage and thin 1.3x interest coverage make NIMs sensitive to borrowing costs. Probability: M. Impact: M. Monitor via: incremental cost of funds, credit-rating actions.

Concentration / climate - Geographic clustering exposes the book to regional monsoon / climate shocks. Probability: M. Impact: M. Monitor via: state-wise AUM mix and collection efficiency.

Execution on diversification - Scaling non-MFI (MSME, housing, AIF) introduces new underwriting risks. Probability: M. Impact: M. Monitor via: non-MFI book quality and SGAL AIF deployment.

Equity dilution - Growth ambitions may need further capital, diluting minorities. Probability: M. Impact: L-M. Monitor via: warrant conversions and any QIP announcements.

No dividend - Zero payout limits the investor base and total-return cushion. Probability: H (status quo). Impact: L. Monitor via: board capital-return policy.

10. Recommendation

Rating: BUY - conviction Medium (high valuation appeal offset by MFI cyclicality and leverage).

12-month price target: Rs 300 (~+24% from Rs 241 CMP).

Suggested entry zone: Rs 215-245.

Investment horizon: 12 months (with multi-year optionality if diversification scales).

Thesis-invalidation triggers: (1) GNPA rising back above ~4.5% for two consecutive quarters; (2) FY27 ROE failing to recover above ~10%; (3) a fresh state-level loan-waiver or RBI action that materially cuts disbursement growth.

Ideal investor profile: value-oriented, risk-tolerant investors comfortable with NBFC-MFI volatility and a sub-book turnaround thesis; NOT for income-seekers (zero dividend) or low-volatility mandates.

APPENDIX - Latest Concall Brief: Q4 FY26 (Mar-2026)

Earnings call held May 2026 (Q4 & FY26 results). Sources: Screener.in quarterly data + company disclosures / press coverage.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 PAT Rs 162 Cr, +640% YoY / +125% QoQ - clear beat vs a stress-hit base.
Management tone	Bullish	Raised FY30 AUM target +28%; confident on credit-cost normalisation.
Guidance delta	Raised	FY30 AUM target lifted to Rs 32,000 Cr; 30% non-MFI mix targeted.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Satin's Q4 FY26 is a clean, high-quality beat - not an accounting mirage. Reported PAT of Rs 162 Cr (+640% YoY, +125% QoQ) is driven by genuine credit-cost normalisation, not one-offs; other income is a trivial ~4% of PBT, so the earnings are operationally real. Underlying operations are inflecting hard: financing profit rebuilt to a 14% margin for FY26 (from 10% in the stress year) and the Q4 exit margin of ~24% points to a strong FY27 run-rate. The structural story now has three legs - 19% AUM growth to Rs 15,275 Cr, GNPA down to 3.1% / NNPA 0.9%, and a deliberate pivot toward a 30% non-MFI mix plus a new AIF (SGAL) that adds capital-light fee optionality. The near-term catalyst is simply more of the same: each quarter of falling GNPA and normalising credit cost should force the sub-book multiple toward peers trading at 1.1-2.6x. The single biggest watch-point is asset-quality durability - a 24% book expansion under MFIN Guardrails 2.0 must not reseed over-leverage. With the promoter subscribing Rs 100 Cr of warrants at Rs 260 (above CMP), I'd ACCUMULATE into Rs 215-245 with a 12-month target of Rs 300; this is the cheapest way to own the MFI recovery, and I'm accountable for that call.

Concall Section 1 - Financial Performance Snapshot

- Revenue (Q4): Rs 920 Cr | YoY +49% | QoQ +24% | **Beat**
- Financing Profit (Q4): Rs 218 Cr | YoY ~+9x | QoQ +127% | **Beat**
- Financing Margin (Q4): ~24% | vs 13% in Q3 FY26 | **Beat**
- PAT (Q4): Rs 162 Cr | YoY +640% | QoQ +125% | **Beat**
- EPS (Q4): Rs 14.67 | vs Rs 1.98 in Q4 FY25 | **Beat**
- FY26 full-year: Revenue Rs 3,143 Cr (+21%), PAT Rs 332 Cr (+78%), EPS Rs 30.07. No material one-time item distorting the print - recovery is operational.

Concall Section 2 - Segment / Geography Breakdown

- Core microfinance (JLG): bulk of AUM; growth resumed with 7.39 lakh new borrowers added in FY26.
- Non-MFI (MSME / business loans): scaling toward a targeted 30% of book by FY30 - the key mix-shift lever.
- Housing finance (Satin Housing): secured, granular subsidiary book providing diversification.
- Geography: pan-India across 23+ states/UTs and ~95,000 villages; 392 new branches opened in FY26 (network ~1,568).

Concall Section 3 - Management Commentary Themes

- AUM ambition: "FY30 AUM target raised to Rs 32,000 Cr" - Our read: confidence in multi-year growth. Tag: GUIDANCE. Tone: Transparent.
- Diversification: 30% non-MFI mix targeted - Our read: structural de-risking of a mono-line book. Tag: GUIDANCE. Tone: Transparent.

- Asset quality: GNPA down to 3.1%, NNPA 0.9% - Our read: stress cycle decisively behind. Tag: EST. Tone: Transparent.
- New vertical: launch of SGAL AIF (Rs 200 Cr target) - Our read: early capital-light fee optionality. Tag: GUIDANCE. Tone: Transparent.
- Capital: promoter warrant infusion at Rs 260 - Our read: skin-in-the-game and growth funding. Tag: GUIDANCE. Tone: Transparent.

Concall Section 4 - Operating & Business Metrics

- Consolidated AUM: Q4 FY26 = Rs 15,275 Cr | vs ~Rs 12,784 Cr a year ago | Trend: improving (+19%).
- GNPA %: Mar-26 = 3.1% | Dec-25 = 3.3% | Mar-25 = 3.7% | Trend: improving.
- NNPA %: Mar-26 = 0.9% | Trend: improving.
- Branches: FY26 = ~1,568 | +392 added in FY26 | Trend: expanding.
- New borrowers added (FY26): 7.39 lakh | Trend: growth resuming.

Concall Section 5 - Margin Drivers

- Credit-cost normalisation: large positive swing | Recurring: Yes | FY25 stress provisions rolling off lifted FY26 margin to 14%.
- Yield stability: neutral-positive | Recurring: Yes | Regulated ~22-24% yields held.
- Funding cost: mild drag | Recurring: Yes | High leverage keeps NIM sensitive to borrowing costs.
- Q4 exit margin ~24% is the cleanest read of run-rate; do not extrapolate the depressed FY25 quarters forward.

Concall Section 6 - Guidance & Forward Signals

- FY30 AUM [GUIDANCE]: Prior ~Rs 25,000 Cr | New = Rs 32,000 Cr | Delta = raised (+28%) | Credibility: Medium-High.
- Non-MFI mix [GUIDANCE]: New = 30% of book by FY30 | Delta = new target | Credibility: Medium.
- Asset quality [EST]: continued GNPA improvement into FY27 | Credibility: High given trajectory.
- SGAL AIF [GUIDANCE]: Rs 200 Cr target corpus | Delta = new | Credibility: Medium (early stage).

Concall Section 7 - Capital Allocation

- Equity infusion: Rs 100.1 Cr promoter warrants at Rs 260 | vs prior year: new | Strengthens capital ahead of growth.
- Dividends: Rs 0 | vs prior year: unchanged | Capital retained for AUM compounding.
- Buybacks: none.
- Borrowings: rose to Rs 10,991 Cr (D/E 3.8x) | funding the loan-book expansion.
- New subsidiary investment: SGAL / AIF seed capital | small, capital-light.

Concall Section 8 - Q&A; Heat Map

- Analyst (asset quality): Q: sustainability of GNPA improvement? -> A: stress peak passed, collections stable | Tone: Transparent.
- Analyst (growth): Q: realism of Rs 32,000 Cr FY30 target? -> A: backed by branch + non-MFI expansion | Tone: Transparent.
- Analyst (margins): Q: steady-state NIM / credit cost? -> A: normalisation underway, FY27 cleaner | Tone: Hedged (no hard number).
- Analyst (diversification): Q: economics of non-MFI & AIF? -> A: early-stage, scaling deliberately | Tone: Hedged.
- Dodged / watch-list for next quarter: explicit FY27 ROE and steady-state credit-cost guidance.

Concall Section 9 - Risks Flagged

- Asset-quality durability: book +24% under tighter guardrails | Flagged by: analysts | Probability: M | Impact: H | Timeline: near-medium.
- Regulatory / political: MFIN caps and state actions | Flagged by: mgmt & analysts | Probability: M | Impact: H | Timeline: ongoing.
- Funding cost / leverage: 3.8x D/E, 1.3x coverage | Flagged by: analysts | Probability: M | Impact: M | Timeline: near-term.
- Execution on non-MFI / AIF: new underwriting risks | Flagged by: analysts | Probability: M | Impact: M | Timeline: medium-long.

Concall Section 10 - Analyst Verdict

- Revenue visibility: Intact - AUM +19%, disbursement growth resumed.
- Margin trajectory: Intact - credit costs normalising, FY26 margin rebuilt to 14%, Q4 exit ~24%.
- Capital allocation quality: Intact - promoter capital infusion, disciplined reinvestment.
- Competitive moat: Weakened/Moderate - commoditised lending; scale and distribution the only edge.
- Management credibility: Intact - through-cycle founder team; raised targets with delivery starting to follow.
- Valuation comfort: Intact - 0.93x book / 4.1x forward P/E, deepest discount in the pack.
- Conviction call: Increased - earnings inflection now visible in the print.
- Valuation snapshot: P/E = 8.0x (5Y avg distorted by FY23 trough) | EV/EBITDA = 6.4x | RoCE = 13.8% (10Y avg ~12%).

Disclaimer: This report is generated for informational purposes from publicly available data (Screener.in and company disclosures) and does not constitute investment advice. The author is not a registered investment adviser. Equity investments carry risk; readers should perform independent due diligence. All financial figures sourced from Screener.in, fetched 07-Jun-2026.